Financial Performance Analysis Report

Sales, Cost, and Profitability Review — FY2013–2014

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1. Problem Statement and Approach

The business operates across five countries, five customer segments, and six product lines. Before this analysis, there was no single view of how production costs (COGS) and discounts were affecting overall profitability. The core question: which products, regions, and segments are actually profitable, and where are costs or discounts eating into margin? The findings below are meant to support better budgeting and cost-management decisions.

The approach followed the CRISP-DM cycle. I started by defining what 'profitable' should mean for this business (sales, cost, and margin across products, regions, and segments), then worked through the 700-row transaction dataset covering 2013–2014, which includes Sales, COGS, Discounts, and Units Sold. Cleaning involved fixing inconsistent text entries, standardising category names, filling gaps with reasonable estimates, and adding calculated fields for Sales, Profit, Profit Margin, Month, and Year. From there I built pivot tables breaking down Sales and COGS by Product, Country, Segment, and Month, and cross-checked the totals against separate SUMIF formulas before building everything into a single dashboard with slicers for Country, Segment, Product, and Year.

2. Key Findings

2.1 Overall Financial Position

Over the two years, net sales totalled $119,078,748 against COGS of $101,973,690, leaving a profit of $17,105,059. COGS is about 85.6% of net sales, putting the average margin at roughly 28%. The business is profitable, but that cost ratio leaves very little room to absorb further cost increases or heavier discounting – which is the issue this report focuses on.

2.2 Revenue and Cost by Product and Country

Paseo is the top revenue earner at $33,040,014, about 27.7% of total net sales, and it also has the highest transaction count (202 of 700 records). But it also carries the heaviest COGS of any product at $28,213,706 – so a large portion of that revenue is absorbed by production cost before any profit shows up.

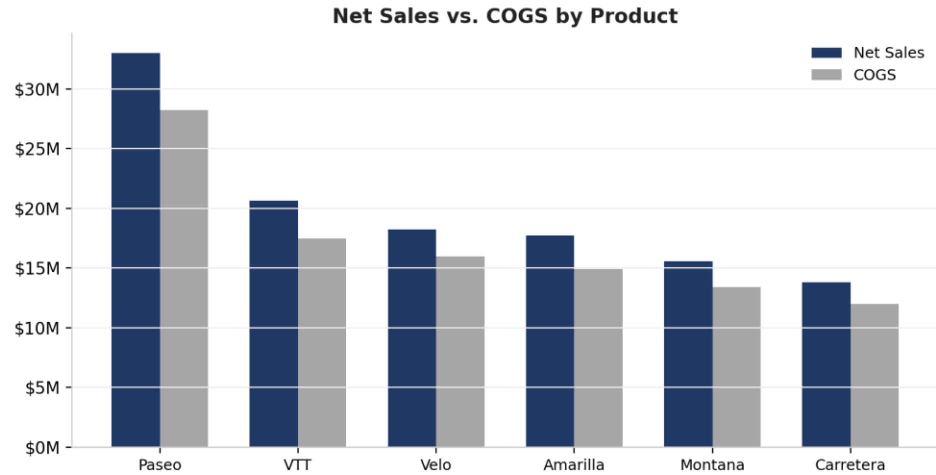

Figure 1. Net sales vs. COGS by product. Paseo leads on revenue but also carries the highest production cost.

Revenue is fairly evenly split across the five countries, which is a healthy sign for geographic diversification. Cost efficiency, however, varies a lot: the USA generates the most revenue but has the lowest margin of any market at around 12.0%, while Germany – on a comparable sales base – achieves the best margin at about 16.2%. That gap suggests the USA's cost structure has room to improve.

Country	Net Sales ($)	COGS ($)	Profit ($)
USA	25,029,830	22,034,290	2,995,541
Canada	24,916,525	21,358,426	3,558,099
France	24,505,158	20,697,048	3,808,110
Germany	23,677,883	19,842,097	3,835,786
Mexico	20,949,352	18,041,829	2,907,523

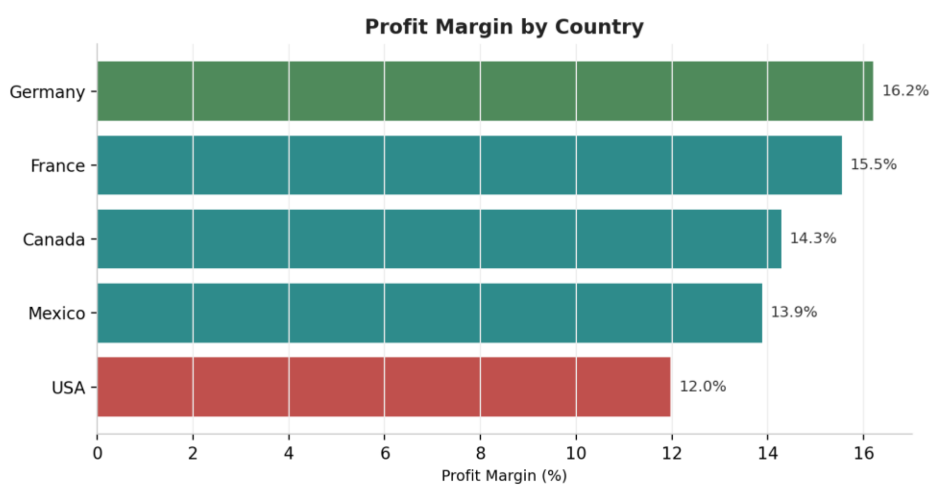

Figure 2. Profit margin by country. The USA trails on margin despite leading on revenue; Germany sets the benchmark.

2.3 Profit by Customer Segment

This is where the most important result sits. Government is the strongest segment overall, contributing 44.1% of net sales and the largest share of profit, with Small Business second. Enterprise, on the other hand, is actually loss-making – its COGS exceeds its sales by about $614,546. Channel Partners sits at the other extreme: lowest absolute sales of any segment, but the highest margin at around 68%, which shows that high volume isn't a requirement for high profitability.

Segment	Net Sales ($)	COGS ($)	Profit ($)
Government	52,533,131	41,116,088	11,417,043
Small Business	42,427,919	38,284,750	4,143,169
Enterprise	19,611,694	20,226,240	(614,546)
Midmarket	2,540,296	1,721,780	818,516
Channel Partners	1,965,709	624,832	1,340,877

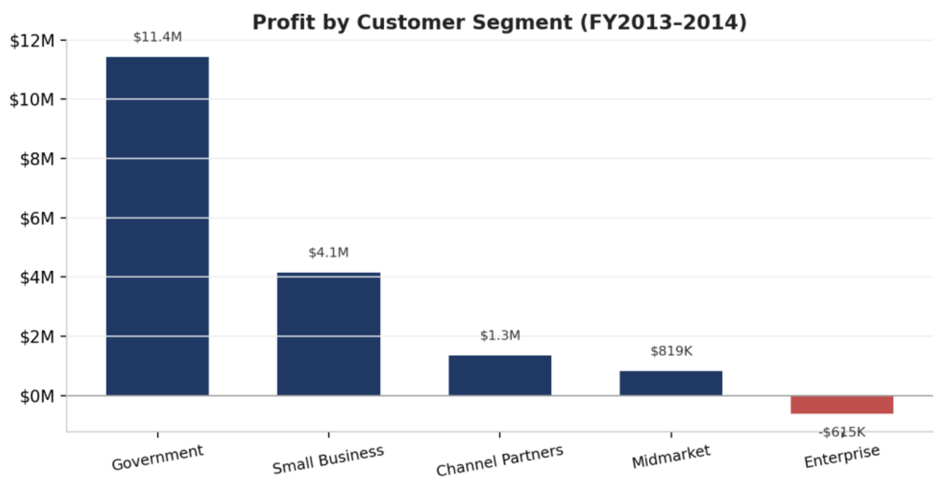

Figure 3. Profit by customer segment. Enterprise is the only segment running a loss; Government drives most of the profit pool.

2.4 Discounting and Seasonal Patterns

Total discounts came to $9,205,248, about 7.7% of gross sales before discounting. On its own that's not extreme, but combined with Enterprise's loss, it looks like discounting is part of what's driving that segment's poor result. Sales are also highly seasonal: October was the strongest month at $21,671,431 (18.2% of the yearly total), September dropped sharply to $10,882,697, and March was the weakest month overall at $5,586,860. This pattern has obvious implications for cash flow, staffing, and inventory planning.

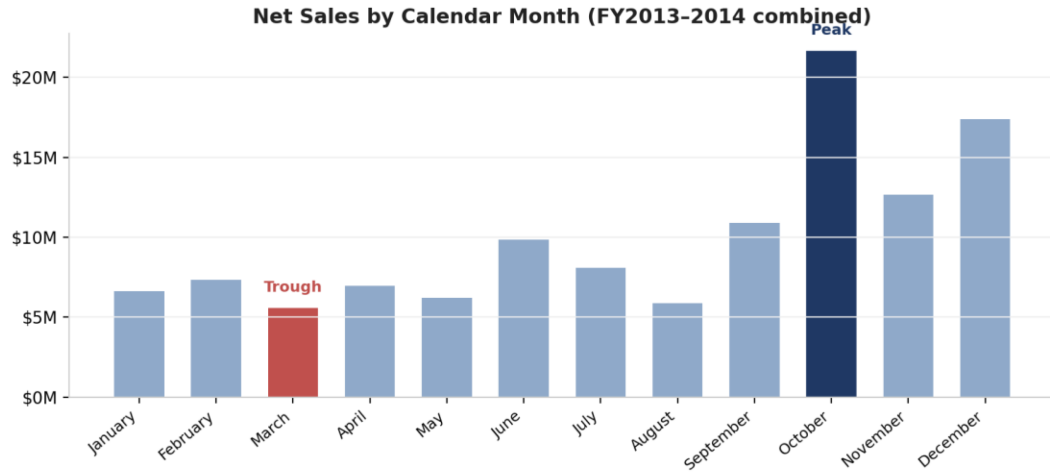

Figure 4. Net sales by calendar month (2013 and 2014 combined). October consistently peaks while March consistently lags.

3. Recommendations

The findings above point to three structural issues – a loss-making segment, a high-cost flagship product, and a wide cost gap between markets – alongside a seasonal pattern that affects planning. The actions below are organised by who would need to act on them.

3.1 Pricing and cost actions

1. Fix Enterprise's loss-making position. COGS exceeds sales by about $614,546 in this segment, so pricing, supplier terms, and the product mix sold to Enterprise clients all need review until costs sit below revenue again. Owner: Sales and Procurement leads. Target: return Enterprise to a positive margin within two quarters.
2. Review Paseo's production costs. It is the top revenue earner but also carries the highest COGS of any product – a closer look at manufacturing, distribution, and procurement could lift its margin without needing to sell more. Owner: Operations. Target: a defined cost-reduction plan within one quarter.
3. Use Germany's cost structure as a reference point for the USA. Germany runs a 16.2% margin on a sales base similar to the USA's 12.0%; their supply chain and procurement practices may offer ideas that translate. Owner: Regional Finance leads, USA and Germany.

3.2 Discounting and segment strategy

4. Tighten discounting, especially in Enterprise. At 7.7% of gross sales overall, it's worth checking whether the volume gained from discounts in lower-margin segments is actually worth the margin given up. Owner: Sales leadership, supported by Finance review of discount-by-segment data.
5. Protect Government, grow Channel Partners. Government drives the most sales and profit and should be a retention priority; Channel Partners' ~68% margin makes it worth expanding even from a smaller base. Owner: Account management and Business Development.

3.3 Planning and forecasting

6. Plan around the October peak and March trough. October alone is 18.2% of yearly sales while March is the weakest month, so inventory, staffing, and cash flow budgets should be built around this swing rather than treated as flat across the year. Owner: FP&A and Supply Chain, ahead of the next annual budget cycle.

4. Conclusion

Overall, the business is in good shape – $119.1 million in net sales and $17.1 million in profit over two years. But the data also shows that high revenue doesn't always mean high profit: Paseo and Enterprise both bring in strong sales alongside disproportionately high costs, while smaller players like Channel Partners and Mexico show that a leaner cost base can deliver better margins than scale alone. Fixing Enterprise's losses, reviewing Paseo's cost base, and tightening discounting are the three changes most likely to move the overall margin in future periods without needing higher sales.